

Example of a specific organizational polarity analysis: Anticipate Customer Needs and React to Customer Feedback

From the instructions: analyze how this polarity was operating in that organization and the positive and/or negative effects from the way it was managed. In this analysis you are to demonstrate your understanding of how the two poles tend to create trade-offs in practice, but that they actually need each other for the organization to thrive.... You must provide examples and other data to support your conclusions about how the organization managed or mismanaged the polarity. The more discrete observations and conclusions about each element of the map, the better.

I work for a company which provides in home services to residential and commercial customers in Vancouver and Richmond, BC. Our company's competitive advantage lies in its ability to offer an improved customer experience over that of its competitors. One way that we are able to deliver on this improved customer experience is through routine maintenance of people's home appliances. In 2008, based on customer feedback, the company introduced a subscription-based membership program for routine maintenance. At the time memberships like these were relatively unusual, particularly in the trades industry. Customers loved the peace of mind that the program offered, and we quickly began adding members to the program.

The goal of the program has always been to increase customer loyalty and retention. The program focused on anticipating customer needs, giving us the ability to address service concern and other benefits that the customer deemed valuable, without the need for them to explicitly ask. At the peak of this program, right before covid, ~20% of our customer base were active members of this program.

The benefits for members included pre-schedule service appointment, a customer loyalty discount, preferred customer status (which included the ability to jump the line during an emergency), reduced costs through proactive planned maintenance and advice on equipment replacement options.

For the company, anticipating customer needs through a routine maintenance membership program creates a reliable and steady stream of profit, creates brand loyalty as well as opportunities to capture significant equipment installation revenue, helps to keep us top of mind with the customer during break down, and lowers the trust barrier between the customer and technician making recommendations.

Since 2008 digital transformation and the subscription-based landscape has shifted drastically. An overfocus on anticipating customer needs had caused us to lose sight of how the customers' definition of value was evolving. By 2019 we were beginning to see membership retention decline to 98%. A program that had once felt innovative was becoming routine across the industry and our membership base had started to decrease. The main issue with the program was that although we had done a good job designing the program in the beginning, once it was rolled out, we didn't actively seek feedback on whether or not the benefits were still aligned with customer expectations.

Prior to 2008 the company was in a reactive state. Without a routine maintenance program, the customer would simply wait for their equipment to break down and call us when they had an emergency. This gave us very little ability to forecast capacity or help the customer build proactive plans

for repairs and replacement. In this state of reactivity most calls originated with an emergency, which meant that the customer began the interaction in a state of stress and there was a lot more pressure to resolve the issue quickly. This added pressure on both sides of the interaction and caused a lot of stress for our staff which resulted in higher turnover rates during this time.

Working on this problem through the lens of the polarity map I can now see that an overfocus on either pole would result in disappointment for the customer and a decline in customer loyalty.

In the early days of the program our ability to anticipate customer needs gave us greater control over the customer's experience. By having people on the membership program, we were able to control seasonality by prescheduling maintenances based on monthly capacity. Our goal was for the experience to be repetitive and predictable in every aspect. Each year you would receive a call at the same time, have an appointment scheduled with the same technician, and pay a predictable price for a predictable service. The technician would make personalized value driven recommendations to help the customer plan for larger maintenance requirements or replacement of their equipment. We also aligned ourselves with the best brands in the industry in order to offer the best warranties and attract customer who valued quality. This allowed us to reduce stress on both sides of the transaction by focusing on getting the job done proactively and hoped that this would result in recommendations from satisfied customers.

However, in our effort to control the service experience we eventually found ourselves overcommitted to parts of the experience that we could no longer deliver on. Our memberships grew faster than our capacity and the service experience began to decline.

Members came to expect that in an emergency they would be able to go to the front of the line and have their preferred technician attend that call. At first, we tried to manage this by only focusing on members, and at certain times of the year we would have to stop taking on new customers to accommodate members' expectations. At the peak of the program, we could not consistently respond to emergencies and our efforts to deliver an outstanding customer experience created a perception of very poor customer service for anyone who wasn't a member. To make things worse the customers' expectations were evolving and because we were not able to deliver on the current expectations, we were not actively focused on responding to opportunities to improve the service. Customers were expressing their desire for more choice on the timing of their service, and they wanted to communicate with us in new ways. We were so overwhelmed with delivering the experience we had designed that we simply ignored the feedback we were receiving and allocated a lot of time and effort trying to salvage the program we had. This overfocus on anticipating the customers needs eventually led us to experience the same south pole deep fear we had been trying to solve when moving away from a more reactive state.

By 2019 our membership booking rates and retention rates were declining, and we realized that we could not sustain the program on a long-term basis based on the criteria we had defined. The staff had almost completely stopped offering the program to new customer and our dispatch department had begun to deprioritize these customers in order to better manage the capacity for all customers.

We decided that in order to continue to offer this program in the long term that it would need to be redesigned. We reached out to a small group of customers and asked them if they would be willing to participate in some interviews and beta testing to help us redesign the program. Through this process we realized that many of the features that had defined that original program were of little to no value to the

customers. For example, through customer interviews we discovered that the customers did not see the customer loyalty discount as a primary benefit. While they indicated that they did like it and would take advantage of it if it was available, their primary focus was on convenience and getting the job done. For example, if given the choice between automated communication features or a discount they would choose the former. These interviews helped us to discover that there were so many ways to deliver value to the customer that would require almost no effort on our part, and yet we were absolutely killing ourselves trying to deliver on things they didn't seem to value.

An example of a change we made was to remove the promise of sending the same technician back for every service at a particular home. Instead, we changed the way we communicate with the customer and the way that we store data. Now when the customer has a scheduled service they received an automated confirmation text, and a reminder the day before the service. When the technician is on his way the customer received a message that includes a photo of the technician that will be arriving with a short bio about them, including a technician rating based on our customers experiences with them. This helps to build trust and familiarity before they arrive at the house. We also upgraded our CRM which allows for the technicians to record their service notes and recommendations inside of a portal which they access on an iPad. This gives the technician insights into the customers system and allows them to build on recommendations made by previous service technicians. At the end of the service customers have a chance to rate the experience, which becomes part of the technician rating they saw at the beginning of the call. Balancing both the customers feedback and anticipating the customers need allowed us to build a better service for the customer, and reduced stress on both sides of the transaction.

In hindsight, there were many early warning signs that our approach was unbalanced. Some of these included increased stress for the customer and employees due to depleted capacity this also led to internal processes being ignored in order to accommodate the chaos. Eventually these things led declining customer retention, decreased renewals, high turnover and a limited ability to respond to the needs of both the customer and service technicians. We also ignored how the market was changing in terms of subscription-based services, and missed opportunities to innovate early on.

Working through this process I found it interesting to reflect on how we moved through the loop of the polarity map. We started in the benefits section of the right pole, over focused here, and found ourselves moving into the south pole deep fears section. We identified the issues and recognized that the solution was to be more proactive. Once we started moving toward this solution, we found ourselves in the benefits side of the left pole, overfocused here, and found ourselves, once again, moving toward the south pole deep fear section. For a time, while moving from the right pole to the left pole, we achieved balance and the program worked well. As time went on, we stopped focusing on feedback and thing started to get bad again.